BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.15/ALD/2023
(2nd Motion)

Under Sections 230 & 232 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions of the Companies Act, 2013

In the matter of Scheme of Amalgamation of:

1. **TISTA VINTRADE PRIVATE LIMITED** a Company incorporated under the Companies Act, 1956 and has its registered office at Flat No. 502, 7/154, RATAN APARTMENT, SWAROOP NAGAR KANPUR UP 208002 IN.

..... Petitioner Company No. 1/Transferor Company

AND

2. **CARE SOAPS PRIVATE LIMITED** a Company incorporated under the Companies Act, 1956 and having its registered office at 21 GA GOVT INDUSTRIAL ESTATE KALPI ROAD Kanpur UP 208012 IN.

..... Petitioner Company No. 2/Transferee Company

ORDER PRONOUNCED ON: 21st March, 2024

CORAM:

Shri Praveen Gupta : Member (Judicial)

Shri Ashish Verma : Member (Technical)

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COUNSEL APPEARED THROUGH VIDEO CONFERENCING:

Mr. Ankit Misra, PCS : *For the Petitioner Companies*

Sh. Krishna Dev Vyas, Adv. : *For the ROC*

Sh. Gaurav Mahajan, Sr. S.C. : *For the I.T. Department*

Sh. Ajit Kumar Singh, AOL : *For the O.L. Alld.*

ORDER

1. The present Joint Company Petition is filed by the Petitioner Companies above named under Sections 230 & 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and other applicable provisions, if any, for sanction of the Scheme of Amalgamation ("Scheme" or "Scheme of Amalgamation") of **TISTA VINTRADE PRIVATE LIMITED** ("Petitioner Company No. 1" or "Transferor Company"), and **CARE SOAPS PRIVATE LIMITED** ("Petitioner Company No. 2" or "Transferee Company")
2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows:
   (i) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of Petitioner

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Companies in their respective Board Meetings held on 26th December, 2022.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid-up Share Capital of the Petitioner Companies as on 31st March, 2022 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

3. The Transferee Company is a Private Company Limited by Shares. It is engaged in the business of

I. To carry on in India or elsewhere the business to derive, discover, establish, manipulate, prepare, promote, supply, import, export barter, buy, sell, turn to account and to act as agent, broker, distributor, stockiest, concessionaries, consignors, consultant, job worker, collaborator, or otherwise to deal in all shapes, sizes, varieties, colors, characteristics, applications, specifications and uses of detergent cakes, detergent bars, detergent powders, liquid detergents, toilet soaps, paper soaps, medicated soaps, toilet requisites, their raw materials, by-products, ingredients, additives, substances, compounds, intermediates and other allied materials, such as all kinds of oils and oleaginous and

saponaceous substances, alfa olefin sulphonates, linear alkyl benzene sulphates, dodecyl benzene sulphonates and other downstream and allied products and to do all such incidental acts and things necessary for the attainment of above objects.

II. *To carry on the business as buyers, sellers, traders, merchants, inventors, brokers, agents, commission agents, assemblers, refiners, cultivators, miners, mediators, packers, stockiest, distributors, advisors, hire purchasers, multi-level marketing of & in all kinds of wood, timber and timber products, gems and jewellery, imitation jewellery, plastics and plastics goods & raw materials thereof, rubberized cloth, food grains, dairy products, soap detergents, biscuits, surgical, diagnostic medical pulses, leather & finished leather goods, leather garments, leather products, all related items in leather, electric and electronics components and goods, iron & steel, aluminium, minerals, ferrous and non-ferrous metal, stainless steel, jute and jute products, textile, cotton, synthetic, fibre, silk, yarn, wool and woollen goods, handicrafts and silk artificial synthetics, readymade garments, design materials, process, printers in all textiles, timber cosmetics, stationery, tools and hardware and sugar, tea, coffee, paper, packaging material, chemicals, cement, spices, grain, factory materials, house equipment, rubber and rubber products, coal, coal products and coal tar, fertilizers, agriculture products, Industrial products, computer data materials,*

software, paints, industrial and other gases, alcohol, edible and non-edible oils and fats, drugs, plants and machinery goods, engineering goods and equipment, office equipment, hospital equipment, railway accessories, medicine, sugar & sugarcane, automobile parts, building construction & materials fur & fur made items toys, building plans, consumer products, consumer durables, coal and coke, mica and mica products, dry flowers and plants, printing, transportation and all other kinds of goods and merchandise, commodities and articles of consumption of all kinds in India or elsewhere.

4. The Transferor Company is a Private Company Limited by Shares. It is engaged in the business of

I. *To carry on the business as buyers, sellers, traders, merchants, inventors, brokers, agents, commission agents, assemblers, refiners, cultivators, miners, mediators, packers, stockiest, distributors, advisors, hire purchasers, multi-level marketing of & in all kinds of wood, timber and timber products, gems and jewelry, imitation jewelry, plastics and plastics goods & raw materials thereof, rubberized cloth, food grains, dairy products, soap detergents, biscuits, surgical, diagnostic medical pulses, leather & finished leather goods, leather garments, leather products, all related items in leather, electric and electronics components and goods, iron & steel, aluminum, minerals, ferrous and non-ferrous metal, stainless steel, jute and jute products, textile,*

cotton, synthetic, fiber, silk, yarn, wool and woolen goods, handicrafts and silk artificial synthetics, readymade garments, design materials, process, printers in all textiles, timber cosmetics, stationery, tools and hardware and sugar, tea, coffee, paper, packaging material, chemicals, cement, spices, grain, factory materials, house equipment, rubber and rubber products, coal, coal products and coal tar, fertilizers, agriculture products, Industrial products, computer data materials, software, paints, industrial and other gases, alcohol, edible and non-edible oils and fats, drugs, plants and machinery goods, engineering goods and equipment, office equipment, hospital equipment, railway accessories, medicine, sugar & sugarcane, automobile parts, building construction & materials fur & fur made items toys, building plans, consumer products, consumer durables, coal and coke, mica and mica products, dry flowers and plants, printing, transportation and all other kinds of goods and merchandise, commodities and articles of consumption of all kinds in India or elsewhere.

5. Both the Companies belong to same group of shareholders and management.

6. The proposed Scheme of Amalgamation is aimed at:

- Expansion and Diversification
- Optimum Economic Benefit

- De-risking Strategy
- Scaling up of operation for competitive advantages
- Increase the Market capitalization
- Cost reduction by reducing overheads
- Increasing the efficiencies of operations
- Tax benefits

7. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the respective Auditors of the Petitioner Companies.

8. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

9. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of both the Petitioner Companies

and their respective Shareholders and Creditors as a whole and is just and equitable.

10. It has been stated that the Transferor Company is a subsidiary of Transferee Company and both the Company is a private limited closely held Group Companies under the common management and control.

11. It is also submitted that valuation exercise has been carried out to determine the share swap ratio for the proposed Scheme of Amalgamation. Mr. Ramandeep Singh Arora, the Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No. IBBI/RV/06/2018/10487 has prepared the Report on Valuation of Shares

The following Share Exchange Ratio has been proposed for the proposed Scheme of Amalgamation:

- "For every 1,000 equity shares of Rs.10 each held in Tista Vintrade Private Limited, 2 equity shares of Rs. 100 each of Care Soaps Private Limited should be issued."
- All the shares to be issued and allotted to the Shareholders of the Transferor Companies us aforesaid,

shall rank pari passu in all respects with the existing Shares held by the Shareholders of the Transferee Company and shall be entitled to prorate dividend if any, from the Transfer Date.

- In issue and allotment of such shares, the fractional entitlements of shares to any Member of the Transferor Companies shall not be taken into account, but such than representing fractional entitlements shall be allotted to one Nominee of the Transferee Company upon trust, who will sell them and distribute their sale proceeds (less expenses, if any) to the shareholders of the Transferor Companies, who are entitled to such fractional shares.

12. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. 3/ALD/2023 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of the Equity Shareholders and Unsecured Creditors of the Transferor Company and the Transferee Company, for the purpose of considering and approving the Scheme of Amalgamation. None of the Petitioner Companies has any Secured Creditor.

Accordingly, this Tribunal vide its order dated 22th August, 2023 (Date of pronouncement), allowed the above mentioned prayers, by dispensing with the requirement of convening the meetings of the Equity Shareholders and Un-secured Creditors of the Transferor Company and the Transferee Company, for the purpose of considering and approving the Scheme of Amalgamation. None of the Petitioner Companies has any Secured Creditor.

13. This Tribunal vide its order dated 21th September, 2023 directed to issue notice of the Company Application/Scheme of Amalgamation to the Statutory Authorities, viz., (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department.

14. This Tribunal further directed that the notice of hearing will also be advertised in "Business Standard" (English and Hindi Edition) having wide circulation over the area where the registered office of the Petitioners Companies are situated.

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15. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in "Business Standard" (English and Hindi Edition) on 24st October, 2023. The Petitioner Companies have also served notice of the Company Petition to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) the Income Tax Department.

16. In response to the above stated notice, the Registrar of Companies, Ministry of Corporate Affairs, Kanpur, Uttar Pradesh has submitted its Report to Regional Director (NR) and no objection has been raised by the Registrar of Companies on the Scheme of Amalgamation.

17. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi has submitted its Report dated 30th October, 2023. No objection has been raised by the Regional Director on the Scheme of Amalgamation.

18. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted an affidavit dated 29.11.2023 containing his Report wherein it has been stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Company without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

19. In response to the notices served, the Income Tax Department has filed two reports with respect to the two companies vide Diary No.244 dated 29th January, 2024 and second vide Diary No.469 dated 15th February, 2024, in respect of the Petitioner Transferor Company and the Transferee Companies, respectively.

20. The relevant paragraphs of the report dated 29th January have been reproduced hereunder:

"6. That after perusal of the assessment records available on ITBA it has emerged that neither any proceeding under the Act is pending nor any demand is outstanding against ***M/s Tista Vintrade Private Limited, Kanpur*** *(Petitioner Company No.* ***1*** *i.e.*

Transferor Company) as on date of swearing and filing of the present affidavit.

7. That it is, however most respectfully submitted that this Hon'ble Tribunal at the time of sanctioning of the Scheme of Amalgamation may be pleased to direct that all tax assessment proceedings which may arise or demand created against M/s ***Tista Vintrade Private Limited,*** *Kanpur(Petitioner Company No 1 i.e. Transferor Company) subsequent to the sanction of the Scheme of Amalgamation pending or arising as on the Effective Date shall be continued and or enforced by or against* ***M/s. Care Soap Private Limited, Kanpur(*** *Transferee Company) in the same manner and to the same extent as would or might have been continued and enforced by or against the* ***M/s Tista Vintrade Private Limited, Kanpur*** *(Petitioner Company No.* ***1*** *i.e. Transferor Company). Further the aforementioned proceedings shall never abate or discontinued nor be in any way prejudicially affected by reason of the Scheme of Amalgamation of the Transferor Company with the Transferee Company or anything contained in this scheme.*

8. That as on date no assessment proceedings are pending against ***M/s Tista Vintrade Private Limited, Kanpur*** *(Petitioner Company No_ 1 i.e. Transferor Company) but in case proceedings are initiated subsequent to the filing of this affidavit, the demand, if any raised in assessment or under any other provision of the Income Tax Act, Wealth* ***Tax*** *Act or Gift Tax Act or any*

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legal obligation in respect of Income Tax Act, Wealth Tax Act or Gift Tax Act arising on or prior to the date of sanction of the Scheme ***M/s. CareSoap Private Limited, Kanpur(*** *Transferee Company) be bound to and held accountable to the Department.*

9. That it is therefore, most humbly prayed that the above narrated facts may kindly be considered to safeguard the interest of the Department before taking a decision in the matter of sanction of Scheme of Arrangement uis 230 to 232 of the Companies Act, 2013 as enclosed in the Company Petition"

21. The relevant paragraphs of the report dated 15th February have been reproduced hereunder:

"6. That after perusal of the after perusal of the assessment work list of this office in the ITBA, it has emerged that neither any proceeding under the Act is pending nor any demand is outstanding against ***M/s Care Soaps Pvt. Limited, (Transferee Company) as*** *on date of swearing and filing of the present affidavit.*

7. That it is, however most respectfully submitted that this Hon'ble Tribunal at the time of sanctioning of the Scheme of Amalgamation may be pleased to direct that all tax assessment proceedings which may arise or demand created against the Transferor Company No.1 subsequent to the sanction of the Scheme of Amalgamation pending or arising as on the Effective Date shall be continued and or enforced by or against ***the*** *Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company No.1. Further the aforementioned proceedings shall never abate or discontinued nor be in any way prejudicially affected by reason of the Scheme of Amalgamation of the Transferor*

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Companies with the Transferee Company or anything contained in this scheme.

8. That as on date of swearing and filing of the present affidavit no assessment/reassessment proceeding under the Act is pending against Transferor Company No. 1 as per assessment work list of this office in the ITBA, but in case any proceedings are initiated subsequent to the filing of this affidavit, the demand, if any raised therein or under any other provision of the Income Tax Act, Wealth Tax Act or Gift Tax Act or any legal obligation in respect of Income Tax Act, Wealth Tax Act or Gift Tax Act arising on or prior to the date of sanction of the Scheme, the Transferee Company be bound to and held accountable to the Department.

9. That it is therefore, most humbly prayed that the above narrated facts may kindly be considered to safeguard the interest of the Department before taking a decision in the matter of sanction of Scheme of Arrangement u/s 230 to 232 of the Companies Act, 2013 as enclosed in the Company Petition"

22. We have gone through the reports/comments of the Ld. Registrar of Companies, Uttar Pradesh, Kanpur, Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad and the Income Tax Department and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

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23. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer Clause.

24. As a result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned and the same shall be binding on all the Shareholders and Creditors of the above-named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date, i.e., 1st day of April, 2022. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme of Amalgamation.

25. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

26. **THIS TRIBUNAL DO FURTHER ORDER:**

i. Upon the Scheme becoming effective, all the properties,

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right and interest of the Transferor Company, Tista Vintrade Private Limited be transferred to and vested in without further act or deed in Care Soaps Private limited and accordingly the same shall pursuant to Section 230 and Section 232 of the Companies Act, 2013 and read with Companies (Compromises, Arrangements and Amalgamation) Rules 2016 be transferred to and vested in Transferee Company Care Soaps Private Limited for all the estate and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

ii. Upon the Scheme becoming effective, all the liabilities and duties of the Transferor Company be transferred, without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

iii. Upon the Scheme becoming effective, all the employees of the Transferor Company, in service on the Effective Date, shall be transferred to and shall become the employees of

the Transferee Company as provided in the Scheme of Amalgamation; and

iv. Upon the Scheme becoming effective, all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company; and

v. Upon the Scheme finally coming into effect and in consideration of the transfer and vesting of all the said assets and liabilities of the Transferor Company to the Transferee Company in terms of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Share(s) to the Shareholders of the Transferor Company in the following manner as provided in the Scheme of Amalgamation:

- "For every 1,000 equity shares of Rs.10 each held in Tista Vintrade Private Limited, 2 equity shares of Rs. 100 each of Care Soaps Private Limited should be issued."

27. Liberty is granted to the Petitioners to file the Schedule of Assets.

28. The Petitioner Companies shall, within thirty days of the date of the receipt of this Order, cause a certified copy of this order to

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be delivered to the Registrar of Companies, Kanpur, for registration; and on such certified copy being so delivered, the Transferor Company shall stand dissolved without undergoing the process of winding up and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said Company shall be consolidated accordingly

29. The Petitioner Companies shall supply legible print outs of the Scheme and the Schedule of Assets in acceptable form to the Registry and the Registry will append such print outs, after verification, to the certified copy of the Order.

30. Certified copy of this Order be supplied, if applied for, subject to compliance with usual formalities.

31. That the Resulting Company shall deposit an amount of Rs. 25,000/- (Rupees Twenty Five Thousand Only) in favour of "The Ministry of Corporate Affairs" within a period of four weeks from the date of receipt of the certified copy of this order and file affidavit of compliance thereof.

32. All the concerned Regulatory Authorities and other persons to act on a copy of this Order annexed with the Scheme duly

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authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

33. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

34. Accordingly, the present Company Petition bearing CP (CAA) No. 15/ALD/2023 is allowed and stands disposed of.

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Ashish Verma
Member (Technical)

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Praveen Gupta
Member (Judicial)

Date: 21st March, 2024